Labor

One-page brief

Priority: 26 of 33 (score 2.4). **FY2026 outlays:** $63B (USAspending). **As of:** 2026-10-27 (first written 2026-10-25). Public data only.

Bottom line

Unemployment insurance fraud was enormous during the pandemic and is still the highest-rate program here (14.9%), but claimant data are held by states and are not public. With public data we can only point to states and periods that look wrong. Labor is a strong candidate once a state or DOL grants data.

Exposure

- Federal-State Unemployment Insurance: $5.6B improper (14.9%) in FY2025. (GAO)
- GAO estimated pandemic UI fraud at $100B to $135B.

Public data we can use

- **DOL ETA state UI reports:** weekly claims, overpayments, and fraud recoveries by state.
- **DOL grants** on USAspending (state UI integrity grants).
- **DOL OIG reports** and DOJ releases.

Detection plays

1. **State anomalies:** claims that diverge from local job loss, or high overpayment rates relative to peers.
2. **Case mining:** extract the schemes from charged cases (shared bank accounts, addresses, IP addresses) to build rules states can run.

First prototype

A state-by-state UI integrity dashboard from public aggregates, plus a playbook of rules drawn from charged cases.

Limits

Detection at the claim level needs state data. This is a proposal-first, data-later agency.

Who to take it to

DOL Employment and Training Administration, DOL OIG, and state workforce agencies.

Related briefs

pbgc.pdf (Form 5500 data), ssa.pdf (benefit data partner).

Sources

- GAO-26-108694: FY2025 improper payments
- GAO-23-106696: pandemic UI fraud of $100B to $135B

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